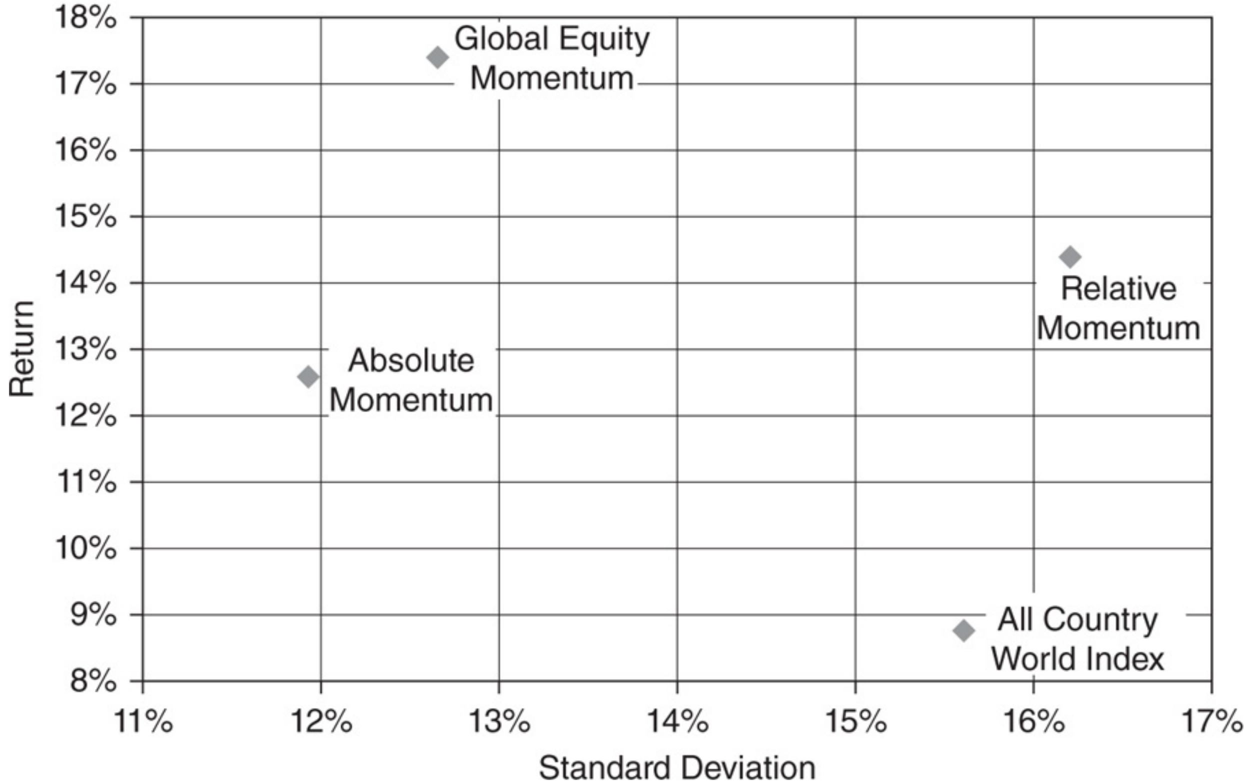

Figure 8.6 Portfolio Return Versus Volatility, 1974–2013

Figure 8.7 shows 12-month rolling returns of GEM and ACWI. It gives an indication of extreme upside and downside annual returns. GEM is more consistent in earning positive returns, and it has fewer extreme downside excursions. GEM was weak relative to ACWI in the early 1980s due to the highly unusual situation of short-term interest rates rising to 20%, making Treasury bills temporarily more attractive than equities. GEM was also weaker than ACWI in early 1975, late 2002, and early 2009 when ACWI rebounded sharply following large bear market losses. Otherwise, GEM consistently outperformed ACWI.